Salesforce (NYSE: CRM)

Hold · Price target $228 · Price $242.11 on Oct 28, 2026 · -5.8% to target

Equity pitch from a three-statement model and DCF built on Salesforce's SEC filings. Educational project, not investment advice.

Market cap	Enterprise value	FY27E revenue	Backlog (RPO)	Net debt	WACC
$199B	**$220B**	**$46.2B (+11%)**	**$72.4B (+14%)**	**$18.8B**	**10.2%**

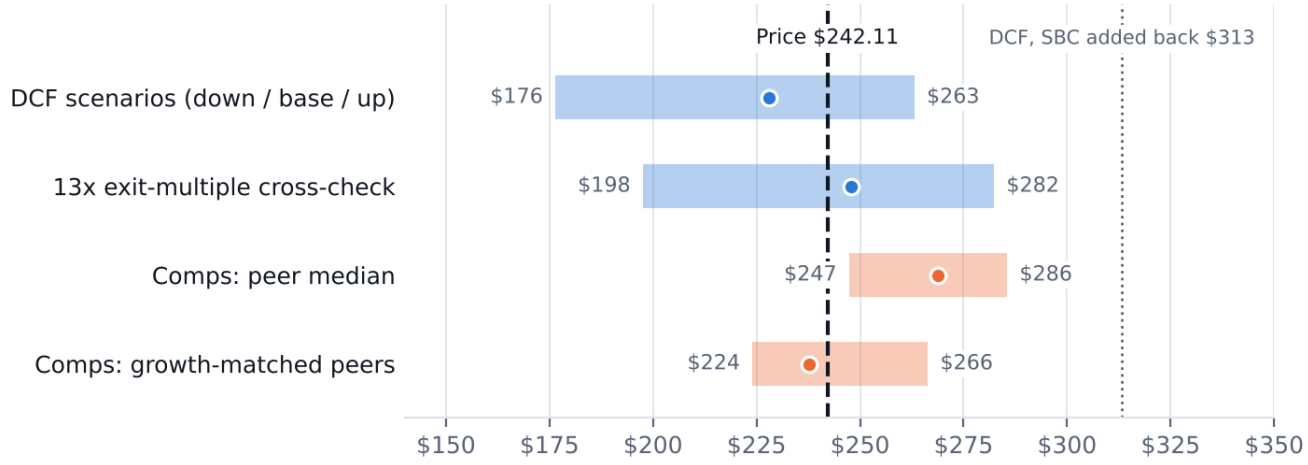
The call

Salesforce is roughly fairly priced. My base-case DCF values it at **$228.11**, 5.8% below the $242.11 share price, and even the upside case ($263.10) falls short of the +15% a Buy needs. The business is high quality, with most of next year's revenue already under contract and reported margins set to rise, but at today's price the market is already paying for that. The upside depends on Agentforce reaccelerating growth, which my base case does not assume.

Thesis

- **Most of next year's revenue is already signed.** $72.4B of remaining performance obligations at FY26 year-end, $35.1B due within twelve months. The model builds revenue from that backlog and reproduces FY27 guidance ($46.1–46.4B).
- **Reported profits rise as old deals finish amortizing.** Acquired-intangible amortization falls from ~$1.9B to ~$0.5B by FY31, lifting GAAP operating margin from 20% to 28% with no change in the business.
- **Agentforce is upside, not base case.** Bookings growth fades from 12% to 8% in the base case. A reacceleration is what the upside case ($263.10) prices.

Valuation range



Bars show low–high; dots the midpoint. Comps use Oct 28, 2026 closes and MarketScreener consensus; the DCF counts stock-based compensation as a cost, peer EBITDA multiples do not.

What would change the rating

- **Price:** holding the $228.11 target, the rating becomes Buy below $198 and Sell above $253.
- **Fundamentals:** current RPO growth well above the ~14% guided for Q3 would point to the upside case; a slowdown like ServiceNow's would point to the downside case ($176).

The key debate: is stock-based compensation a real cost?

Salesforce pays about 8% of revenue (~$3.8B in FY27) in stock. Most sell-side models add it back to free cash flow because no cash leaves the company. I don't: every share issued to employees is a smaller slice for existing owners, and buybacks partly exist to offset that dilution. The choice is worth about **$85 a share**: $228.11 with stock comp as a cost, $313.24 if it is added back. It is also the main reason peers' multiples imply more than my DCF.

Risks

- **Debt-funded buyback.** ~$24.8B borrowed to buy back $25B of stock took total debt from $14.4B to $39.3B. Buying near today's price creates little value if the stock is worth ~$228, and the debt now carries interest.
- **Integrating Informatica.** Adds roughly 3 points to FY27 growth. If customers churn, that growth fades while the amortization charges remain.
- **The multiple shrinks as growth slows.** Growth slows from ~11% to ~9%; the model already assumes EV/EBITDA falls from 18.4x today to 13x. A faster de-rating costs about $32 a share per 2x of multiple.

Scenarios

	Downside	Base	Upside
Story	Bookings stall; AI costs squeeze margins	Guidance holds; ~50 bp/yr sales efficiency	Agentforce lifts bookings
Value per share (DCF)	**$176.43**	**$228.11**	**$263.10**
vs. price	-27.1%	-5.8%	+8.7%
FY31 revenue	$58.5B	$67.0B	$72.6B
FY31 GAAP operating margin	25.6%	28.2%	29.8%
FY31 unlevered FCF (in DCF)	$12.8B	$16.5B	$19.0B

Trading comps

Company	EV / NTM revenue	EV / NTM EBITDA	NTM P/E	NTM revenue growth
ServiceNow (NOW)	8.2x	21.6x	68.5x	19.3%
Oracle (ORCL)	5.2x	9.0x	18.8x	39.9%
Adobe (ADBE)	3.4x	7.1x	11.8x	9.3%
Workday (WDAY)	4.2x	12.1x	33.7x	10.7%
SAP (SAP)	5.5x	16.8x	26.5x	11.4%
Peer median	**5.2x**	**12.1x**	**26.5x**	**11.4%**
Salesforce (CRM)	**4.5x**	**11.3x**	**25.9x**	**10.1%**
Microsoft (MSFT), reference only	*9.3x*	*15.1x*	*25.3x*	*18.5%*

Implied CRM value: peer median $247.38–$285.51; growth-matched peers (ADBE, WDAY, SAP) $224.04–$266.36. Comps sit above the DCF mainly because peer EBITDA excludes stock comp, and because ServiceNow and Oracle grow much faster. ServiceNow fell 19–27% on Oct 29 after its results, which would lower the peer median.

Method

Three-statement model from Salesforce's 8-K earnings releases (FY23–Q2 FY27). Subscription revenue = prior year-end current RPO × conversion ratio; costs as a share of revenue (GAAP), with acquisition amortization on its own schedule. Unlevered FCF discounted at 10.2% WACC (10-year Treasury 4.99%, beta 1.26, ERP 5%); perpetuity growth 3% is the headline, a calibrated 13x exit multiple the cross-check. The balance sheet balances in every year and scenario. Full model, comps and notes: github.com/pooja003-cloud (README and docs/model-notes.md).

Sources: Salesforce Q4 FY24, Q4 FY26 and Q2 FY27 earnings releases (SEC 8-K Ex. 99.1 / investor relations); share prices: Oct 28, 2026 closes (Motley Fool, boerse.de, stockanalysis.com); FRED DGS10; Yahoo Finance beta; MarketScreener consensus estimates. Not investment advice.